# Lecture 6: Institutions and Institutionalisms (AUW)

*Political Science — Master Notes · by Jakob V. Stangel*

**Required reading:** Hall & Taylor (1996), *Political Science and the Three New Institutionalisms* · Busemeyer & Thelen (2020), *Institutional Sources of Business Power* (an HI example)

**Theme of the lecture:** the role of **institutions and structures** in political processes — how institutions **shape the behaviour of political actors**, and what drives institutional **change vs continuity** — focusing on the **rational-choice (RCI), historical (HI), and sociological (SI)** variants of **New Institutionalism** (with **path dependence** and **institutional legacies** as central concepts).

**Lecture frame (AUW) — the essentials before the three schools**

***Core:* institutions ≠ organizations.** Institutions are the **rules/norms that enable or constrain actors**; organizations are **groups of actors**. *(Ayca's example: the **Social Democratic Party** is an organization; the constitutional & legal rules, its internal statutes, and the unwritten norms governing it — e.g. can an MP defy the leadership and keep their job? — are institutions.)*

- **The debate it settles: structure vs agency** — *what explains a political outcome?* New Institutionalism is the "revised" answer (behavioralism → institutionalist critique → New Institutionalism): **institutions structure outcomes.**
- **Why study institutions?** They have **profound political consequences** — e.g. electoral system → party system (majoritarian → two-party; PR → multiparty — Lectures 4–5); parental-benefit design → labour-market gender equality.
- **The definition of "institution" *widens* across the three schools** — this is the key organising idea:

| School | What counts as an institution |
|---|---|
| **RCI** (narrowest) | **"Rules of the game" —** constitutions, laws, regulations, court decisions |
| **HI** (middle) | The above **+ procedures, routines, norms, conventions** (how things are done; SOPs) |
| **SI** (broadest) | All the above **+ symbol systems, cognitive scripts, moral/discursive templates —** "frames of meaning" (role of the state, national identity, patriarchy, institutional racism…) |

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## Hall & Taylor (1996) — The Three New Institutionalisms

### Chapter résumé

Hall & Taylor show that "the new institutionalism" is **not one theory but three — rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** institutionalism — which arose in the 1980s–90s (all reacting against 1960s–70s **behavioralism**) yet developed **independently**, "paint quite different pictures of the political world," and rarely cited each other. They compare the three on **two questions fundamental to any institutional analysis: (1) how institutions relate to behaviour, and (2) how institutions originate and change.** Their verdict: none is wrong — each captures a **partial** truth — so they call for **cross-fertilisation.**

> ★ **The heart of the reading:** three schools answer the same question — *how do institutions shape political behaviour and outcomes?* — very differently. **RCI**: institutions are rules that structure **strategic interaction** among fixed-preference utility-maximisers ("calculus"). **HI**: institutions distribute **power** unevenly and lock in **paths** over time (eclectic). **SI**: institutions are **cultural frames of meaning** that constitute actors' very identities and preferences ("cultural"). The exam task: fill in the comparison table and use it to build *three competing explanations* for one outcome.

**The red thread.** Everything reduces to **two cross-cutting approaches** (Hall & Taylor's own device): the **calculus approach** (actors strategically maximise; institutions give certainty about others' behaviour; persist as a **Nash equilibrium**) vs the **cultural approach** (actors interpret via worldviews; institutions provide moral/cognitive templates; persist because **taken-for-granted**). **RCI = pure calculus · SI = pure cultural · HI = both.** For any theory ask: *calculus or cultural — and how does that answer "how do actors behave / what do institutions do / why do they persist"?*

## Key concepts / "modes" to use

- **The three schools: RCI · HI · SI** (+ the widening definition of "institution").
- **Calculus vs cultural approaches** — the master framework for *how institutions affect behaviour*.
- **RCI toolkit:** strategic interaction · collective-action dilemmas · gains from exchange · **Nash equilibrium**.
- **HI toolkit: power asymmetries · path dependence · critical junctures · unintended consequences**.
- **SI toolkit: frames of meaning · logic of appropriateness · isomorphism · legitimacy**.

## Section-by-section main points

### The two archetypes — calculus vs cultural

*Core:* any institutionalism must answer three questions — *how do actors behave? what do institutions do? why do they persist?* — and there are two archetypal answer-sets.

| | Calculus approach (→ RCI) | Cultural approach (→ SI) |
|---|---|---|
| **How do actors behave?** | Instrumental, strategic **utility-maximisers**; preferences given **exogenously** | Behaviour **bounded by a worldview**; **satisficers**; choice depends on *interpretation* |
| **What do institutions do?** | Provide **certainty** about others (information, enforcement); shape **expectations** | Provide **moral/cognitive templates**; shape **identities & preferences** themselves |
| **Why do they persist?** | They're a **Nash equilibrium** — deviating makes you worse off | **Taken-for-granted**; one actor can't change a collective convention |

**HI is eclectic — it uses *both*.**

## ★ The three institutionalisms compared *(the exam table — from the screenshot)*

***Core:*** memorise this. To answer "why did outcome X happen?", read *across a row* for three competing explanations.

| Dimension | Rational Choice (RCI) | Historical (HI) | Sociological (SI) |
|---|---|---|---|
| **Definition of institutions** | Rules/procedures that structure **strategic interaction** (narrow) | Formal/informal **procedures, routines, norms, conventions** embedded in the polity/economy (tied to organizations) | **Symbol systems, cognitive scripts, moral templates —** "frames of meaning" (dissolves the institution/culture line) |
| **Example they study** | **US Congress** (committees, rules of procedure) | **Cross-national public policy** (welfare states, labour, corporatism) | **Organizational forms & their diffusion** (why education ministries worldwide look alike) |
| **Institutions ↔ behaviour** | **Calculus** | **Eclectic** (both) | **Cultural** |
| **How do actors behave?** | Fixed **exogenous preferences**; instrumental, strategic maximisers | Both strategic *and* worldview-shaped (strategies can **ossify into worldviews**) | Socially-constituted interpreters; **"logic of appropriateness"** — what's "rational" is itself socially constituted |
| **What do institutions do?** | Structure strategic interaction; provide info/enforcement → reduce uncertainty, enable **gains from exchange**; solve **collective-action problems** | **Structure conflict** — privilege some interests, demobilise others; distribute **power unevenly** | Confer **meaning & legitimacy**; constitute actors' **identities & preferences** |
| **Why do they persist?** | They're a **Nash equilibrium** (deviation costs you) | **Path dependence** — groups develop interests "costly to shift" | **Taken-for-granted**; can't be changed by one individual |
| **How/why do they change?** | Deductive; **voluntary agreement** / competitive selection *(weak on change — the "equilibrium paradox")* | **Critical junctures** (crisis/war) → **branching points**; otherwise path-dependent | Adopt new **templates for legitimacy** (not efficiency); **borrowing/diffusion**; can even be *dysfunctional* |
| **Particular focus** | Strategic interaction; collective-action dilemmas; gains from exchange | **Power asymmetries; path dependence; unintended consequences; ideas** | **Legitimacy; culture; isomorphism** |
| **Key concepts** | transaction costs, principal–agent, Nash equilibrium, gains from exchange | path dependence, critical junctures, unintended consequences, "mobilization of bias" | frames of meaning, cognitive scripts, logic of appropriateness, isomorphism |
| **Hall & Taylor's critique** | **Thin/"simplistic" motivation**; exogenous preferences; **functionalist** origins | Vague on the **precise causal mechanism**; too **inductive** | **"Bloodless"; "action without agents"**; misses **power** |

## Rational Choice Institutionalism (RCI) — the "calculus" school

***Core:*** institutions are **rules that structure strategic interaction** among rational, fixed-preference **utility-maximisers**; they persist because they're an **equilibrium** and are created to **capture gains from cooperation**.

- Borrows the "new economics of organization" (transaction costs, property rights, principal–agent). Politics = a series of **collective-action dilemmas** (prisoner's dilemma, tragedy of the commons); institutions solve them by providing **information + enforcement**.
- **Exemplars:** US Congress studies — **Shepsle, Weingast**; **Ostrom** on common-pool resources; **North** on economic institutions.
- **Best at:** precise, generalisable theory; explaining **why institutions persist**. **Weak at:** origins/change — its explanations are **functionalist** (deduce origins from consequences — but you can't, because of unintended consequences), **intentionalist**, **voluntarist** (understates power); and the **equilibrium paradox** (if the status quo is already a Nash equilibrium, why would anyone agree to change it?).

## Historical Institutionalism (HI) — power + path dependence

***Core:*** institutions **distribute power unevenly** ("structure conflict to privilege some, demobilise others") and, once set, lock national development onto **paths** that are costly to reverse — change comes at **critical junctures**.

- Definition sits in the middle (procedures/routines/norms embedded in organizations); **eclectic** on behaviour (both calculus & cultural, integrating **ideas**). History = **long continuity punctuated by critical junctures** (triggered by crisis/war) that create **branching points**; between them, **path dependence** + **unintended consequences** dominate.
- **Exemplars: Immergut** (health-care reform), **Steinmo** (tax policy), **Hattam** (US labour), **Skocpol** (welfare states & state capacities); **Thelen** (how institutions evolve).
- **The most "commodious"** and realistic school, and the **pivot** between RCI and SI. **Weak at:** specifying the exact causal mechanism; too inductive to build systematic theory. *(This is the school Busemeyer & Thelen exemplify — see below.)*

## Sociological Institutionalism (SI) — culture & legitimacy

***Core:*** institutions are **cultural frames of meaning** (symbols, scripts, templates) that don't just constrain behaviour but **constitute actors' identities and preferences**; organizations adopt practices for **legitimacy**, not efficiency.

- Dissolves the **institution/culture** boundary (a "cognitive turn"). Actors follow a "**logic of appropriateness**" (what's socially appropriate), not pure calculation. Explains **isomorphism** — why organizations in a field converge on the same forms "regardless of local conditions," even when **dysfunctional**.
- **Exemplars: Meyer & Rowan** ("myth & ceremony"), **DiMaggio & Powell** (isomorphism / the "organizational field"), **March & Olsen** (logic of appropriateness), **Dobbin, Fligstein, Soysal**.
- **Best at:** meaning, legitimacy, identity, and the inefficiencies RCI can't explain (the "waiting at a red light with no one around" point). **Weak at:** power & agency — "curiously **bloodless**," can look like "**action without agents.**"

## Change vs continuity — each school's answer *(AUW's deck; the Brexit test)*

***Core:*** take one outcome (e.g. **Brexit**) and give **three competing explanations** — one per school.

| School | Explains CHANGE by… | Explains CONTINUITY by… |
|---|---|---|
| **RCI** | disrupted equilibrium; actors' **interests** (utility-max, cost–benefit); strategic action; **few veto players** (or in agreement) | policy **equilibrium**; **many veto players** (or in disagreement) |
| **HI** | **critical junctures**; unintended consequences; powerful **agenda-setters**; institutional inertia | **path dependence**; **policy lock-in**; institutional power vested in key actors |
| **SI** | **societal shifts** (materialism→post-materialism); a new **economic paradigm** (Keynesianism→neoliberalism); IR shift (multilateral→unilateral) | deep **taken-for-granted** structures; **national identities**; nested power structures |

## Hall & Taylor's conclusion — cross-fertilise

***Core:*** each school reveals a **genuine but partial** dimension of behaviour, so they should **borrow from each other** rather than stay in isolation.

- Who does what: **RCI** = precision & persistence (weak on motivation/change); **HI** = power & history (weak on mechanism); **SI** = meaning & legitimacy (weak on power/agency). HI is the **bridge** — its arguments translate into RCI terms yet open toward SI (actors pick institutions strategically, but "from a menu made historically available").
- **Emerging syntheses they cite: Kreps** (corporate culture as an efficient supplement to monitoring); **Garrett & Weingast** (norms/ideas as "**focal points**" that select among multiple equilibria); **Scharpf** ("decision rules" [incentives] + "decision styles" [beliefs about appropriate behaviour]); **Bates & Weingast** (strategic interaction as **signalling games** needing cultural context). *(Caveat: they don't claim a full synthesis is yet possible — "there is much to be said for tenacious debate.")*

## Key terms

| Term | Meaning |
|---|---|
| Institution vs organization | Rules/norms that constrain actors vs groups of actors |
| Calculus vs cultural approach | Strategic maximising vs interpretation-by-worldview |
| RCI / HI / SI | Rational-choice / historical / sociological institutionalism |
| Nash equilibrium | Why institutions persist for RCI (deviation costs you) |
| Collective-action dilemma | Individually rational, collectively bad (RCI's image of politics) |
| Path dependence | Past choices lock development onto costly-to-reverse paths (HI) |
| Critical juncture / branching point | Crisis moment when big institutional change sets a new path (HI) |
| Unintended consequences | Ubiquitous — why you "can't deduce origins from consequences" |
| Mobilization of bias | Institutions distribute power unevenly (HI) |
| Logic of appropriateness | Act on what's socially appropriate, not calculation (SI) |
| Isomorphism | Organizations in a field converge on the same form (SI) |
| Frames of meaning | Symbol systems/scripts that constitute action (SI's institutions) |

## Exam pointers

- Reproduce the **RCI/HI/SI comparison table** — the exam's whole point (Ayca's table).
- Nail **institution ≠ organization** and the **widening definition** (RCI rules → SI frames of meaning).
- Use the **calculus vs cultural** distinction to explain *how* each school links institutions to behaviour.
- Run the **change-vs-continuity table** on one outcome (Brexit): **three competing explanations** (RCI equilibrium/interests · HI critical juncture/path dependence · SI paradigm/identity shift).
- Know each school's **signature critique** (RCI thin motivation · HI vague mechanism · SI bloodless/no power).

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# Busemeyer & Thelen (2020) — Institutional Sources of Business Power *(an HI example)*

## Chapter résumé

An **exemplary Historical-Institutionalist study**: where does **business power** come from? The standard split is **structural** power (business's privileged position as investor — the exit/investment threat) vs **instrumental** power (lobbying, donations). Busemeyer & Thelen add a third, **institutional business power** — power that "results when state actors **delegate public functions to private business actors**" and, "over time, through **policy feedback and lock-in effects**," produces an

**asymmetrical dependence of the state on business.** They prove it in **education/skill formation** (a "quintessentially public" area where you'd *least* expect business power) across **Germany, Sweden, and the USA.**

> ★ **The heart of the reading:** business power isn't a fixed feature of capitalism — it's **built by institutions over time**. Once the state hands parts of a public service to private actors, **policy feedback + lock-in** make the state **dependent** on them and the change **near-impossible to reverse.** This is *classic HI*: **power asymmetries compounding through path dependence.**

## Section-by-section main points

### The argument — a third kind of business power

***Core:*** to structural + instrumental power, add **institutional business power** — endogenous to **past policy-design choices**, not a generic feature of capitalism.

- **Three types: structural** (investor's exit threat — Lindblom) · **instrumental** (lobbying/donations) · **institutional** (entrenched role in delivering a **public function**). They act as "**communicating vessels.**"
- **Two conditions** set how strong institutional power is: **(1) the credibility of business's exit threat** and **(2) the depth of state dependence** (has the state lost the capacity to provide the service itself?). Both high → power strongest.
- Once entrenched, institutional power grants business insider "**quiet politics**" access (Culpepper) — so it needs far less *overt* lobbying. The three cases are deliberately "**most different**" (Esping-Andersen's three welfare worlds × Hall & Soskice's *varieties of capitalism*) to show a **common dynamic despite maximally different systems.**

### Three mechanisms → three countries

***Core:*** the *same* dynamic (state shares a public function → feedback entrenches business → lock-in) plays out three ways across maximally different systems.

| Country | Mechanism | What happened |
|---|---|---|
| Germany | **Delegation** | state consciously shares regulatory space with employers (dual apprenticeship training) |
| Sweden | **Deregulation** | state retreats from provision (school **vouchers** / for-profit "free schools") |
| USA | **Accretion** | private actors *invite themselves in* (venture philanthropy, charter schools) |

- **Germany — Delegation (dual vocational training).** Firm-based apprenticeships rest on **employer voluntarism** (~500,000 youths/year, ≈ the number entering university). **Highest** institutional power: both state dependence *and* exit threat are high. Twice (**1970s**; **red–green 1998**) governments floated a statist **training levy** + school-based alternative; both times employers threatened to cut training places and the government **backed down** — and by the 2000s **unions & Social Democrats**

**had *reversed*** to defending firm-based training (preference **conversion via feedback**). → *Delegation + lock-in + preference change = HI.*

- **Sweden — Deregulation (school vouchers).** Early-1990s reforms broke a near-total **public monopoly**; public money now funds private "independent" schools. By 2014 **ten corporations held 30% of the market** (biggest: AcadeMedia, owned by VC firm EQT); ~85% of voucher schools are **for-profit** — a "welfare-industrial complex." The **2016 Reepalu** profit-cap proposal died after providers threatened to shut down; Reepalu himself: "*we'd be in an easier situation if this had been introduced twenty years ago*" (**lock-in spoken aloud**). → *Deregulation + self-reinforcing feedback (even unions flipped pro-privatisation).*
- **USA — Accretion (venture philanthropy & charters).** Wealthy donors (**Gates, Broad, Walton**) "invite themselves" into education, funding charter schools/CMOs. **High exit threat, lower state dependence** (private funds *supplement*). Charters ≈6% of US enrolment but **~95% in post-Katrina New Orleans**; **Gates ranked the most influential individual in US education policy — ahead of the Secretary of Education.** In the 2014 de Blasio vs **Eva Moskowitz** fight, Walton-funded groups bused parents to Albany and Gov. Cuomo vowed "*We will save charter schools!*" → *Accretion — instrumental power converting into entrenched institutional power.*

### Why it's HI — and how RCI/SI would differ

- **HI hallmarks: power** runs through the whole study (asymmetric state↔business dependence tilting "over time"); **historical legacies** (each country a longitudinal narrative); **path dependence & lock-in** ("reclaiming lost territory becomes more difficult over time"); **policy feedback**; **critical junctures** (German 1982 government change; **Hurricane Katrina** enabling New Orleans's charterisation).
- **RCI would say:** business power = a credible **exit/holdup threat** in a principal–agent game; delegation persists because it's **efficient** (lowers state costs) — but static RCI misses the *temporal tilt* and the change in actors' preferences.
- **SI would say:** private provision spreads because it becomes **legitimate/taken-for-granted** (Germans see employer involvement as "an asset"; Swedes internalise "free choice"; Gates's role "taken for granted") — an NPM/"choice" **template diffusing** (isomorphism) — but SI under-weights the raw **power** the authors foreground.

### Exam pointers

- Use this as your **worked HI example**: name the mechanism per country (**Delegation/Germany · Deregulation/Sweden · Accretion/US**) and show **power + path dependence + lock-in.**
- Define **institutional business power** vs structural vs instrumental, and its **two conditions** (exit threat + state dependence).
- Be ready to **re-explain the same outcome in RCI and SI terms** (Ayca's exercise).

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## Informal institutions *(AUW coda)*

***Core:* informal institutions** = the "informal rules of the game" — "*socially shared rules, usually unwritten, created, communicated and enforced outside officially sanctioned channels.*" They can matter as much as formal ones (esp. in weak states) — and are **not necessarily undemocratic.**

- **Examples: *dedazo*** ("big finger", Mexico — the outgoing PRI president secretly picks his successor) · ***amakudari*** ("descent from heaven", Japan — retired bureaucrats get corporate jobs) · **clientelism** (Peronist Argentina). *Not* undemocratic: the **folkways of the US Senate** (Matthews 1959 — apprenticeship, courtesy, reciprocity, specialisation); pre-Erdoğan Turkish university-rector elections.

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## ★ Fun facts & memorable details

> Sticky bits from Lecture 6 (institutions & institutionalisms).

### Quotable

- The framing line: "*political science today is confronted with not one but three 'new institutionalisms.'*"
- **SI's best point** (why we're not just calculators): "*anyone who has waited at a traffic light when no one else was around*" has to admit institutions work non-instrumentally too.
- **RCI's key logical error** (Hall & Taylor): "*one cannot safely deduce origins from consequences*" — because unintended consequences are everywhere.
- SI critique in three words: "*action without agents.*"
- **Reepalu (Sweden):** "*We'd be in a somewhat easier situation if much of what we're proposing had been introduced some twenty years ago*" — path dependence, out loud.
- **Cuomo (US):** "*We will save charter schools!*"

### Memorable

- The three schools "developed **quite independently of each other**," each "assiduously burnishing its own paradigm" — a paper about theories that ignored each other.
- **Germany: ~500,000** start firm-based apprenticeships each year — about the same as start university.
- **New Orleans** after Katrina: **~95%** of children in charter schools — the highest of any US city.
- **Bill Gates** was ranked the **single most influential individual in US education policy — ahead of the Secretary of Education** (who, at the time, was herself a venture philanthropist).
- **Institution ≠ organization:** the Social Democratic *Party* is the organization; the rules and unwritten norms governing it are the *institutions* — the distinction the whole lecture turns on.